

3.3.1 BUSINESS OBJECTIVES AND STRATEGY

Special thanks to students from 12JL (2020 batch) who contributed to unit3 notes compilations Munzir, Enas, Rayyan, Kayson, Reem, Zeeshan, Shiuree, Shaaha, Maashy, Eman and Afran)

1. corporate objectives

Objective = something a business aims to achieve

Business aims = things businesses want to achieve in long term – less specific than objectives

Mission statement = shows/states businesses' main purpose - reflects its goals/values

- purpose
- values
- standards/behavior
- strategy

Corporate objectives = set by senior managers/directors - focuses on performance/results over time – must be SMART:

- **specific** = should not be vague – should be clear and particular and connected to the business
- **measurable** = involves evidence to demonstrate achievement – financial or quantifiable elements mostly (makes it easier to measure success of that objective)
- **agreed** = should be agreed to by all involved/responsible – otherwise no motivation or commitment to achieve an objective
- **realistic** = objective should be achievable in regard to current resources available and current market conditions
- **time specific** = a deadline or timeframe to ensure a sense of urgency and a point of assessment

departmental & functional objectives = more specific objectives - split into appropriate views of separate departments/functions of business

the objectives hierarchy =

- aims
- mission statement
- corporate objectives
- functional objectives – finance/marketing/operations/people

Critical appraisal of mission statements and corporate aims = some view mission statements as unrealistic/unattainable - so should not be too vague – must be continuously renewed/assessed to ensure relevance over time

A mission statement states that the business's main purpose. It may also reflect goals and values. It describes in general terms the company's core activities. It may also reference information such as:

- the markets in which it operates
- what its key commercial objectives are
- in what way it values its stakeholders
- what its ethics involve

Advantages/Arguments for:

- It attracts potential investors. All stakeholders will know the central aim of the business and understand its purpose and culture, such as they believe there is always a better way
- It motivates the employees. Can give a sense of common purpose and direction which can encourage innovation and commitment to the quality of the product/service of the company.
- Workforce motivation can increase efficiency, leading to a competitive advantage over the company's closest rivals
- It informs the customers and create brand loyalty
-

Disadvantages/Arguments against:

- Can just be a PR exercise to create a good public image and have little, if any, relevance to the stakeholders.
- Mission statement is only one way stakeholders gain impression of a company, other news stories may be more influential
- Wordings in mission statements can be too vague to be meaningful and impossible to prove or disprove its importance and or value to stakeholders
- Impossible to sum up what a business is all about in one or two sentences but there is an expectation from investors that a large company must have a mission statement
- The reality of the workplace is too far removed from such idealized concepts as to render it meaningless.

Stakeholder perspectives on mission statements

Owners	Owners will want to maximise shareholder value of the business
Managers	Manager will look for core aims and objectives of the business to lead their staff / teams with
Employees	Employees will look for motivational statements that make them feel proud to work for that company
Pressure groups	Pressure groups will look for a clear environmental or ethical message in the mission statement
Customers	Customers will look to see if the core business principals that are ethical
Competitors	Competitors will look to see if the business is visionary, competitive, innovative and organised

2. theories of corporate strategies

Business strategies = planning/strategizing done to achieve corporate objectives

Ansoff's matrix = strategic/useful/decision making tool to aid with business growth

- **Market penetration** = achieving growth in existing prods in existing markets – lowest risk
- **Product development** = making new/modifying existing prods in existing markets
- **Market development** = marketing existing prods into new markets
- **Diversification** = developing new prods for new markets – lowers dependency on existing prods – high risk – spreads risk if done right



Ansoff Matrix

Ansoff's matrix is a decision-making model that can be used to help businesses analyse its strategic options/opportunities for growth

Ansoff's matrix can help a business to assess the degree of risk or resource requirements for each option

Analysis

- Ansoff's matrix shows the relative risk of taking strategic decisions
- potential production needs or market entries are plotted on the matrix and the opportunities for growth and associated risks are considered
- Ansoff would indicate that selling existing programmes to new markets is less risky than developing new programmes for new markets

Evaluation

- Ansoff's matrix is just one decision making model, others may be used and could give different readings of the situation
- formal market research in each market is likely to give the company a better indication of the needs of each overseas market
- the indication of diversification as the best model will be the most expensive/least profitable option in an overseas market, and carries the greatest risk/highest likelihood of failure
- Ansoff's matrix may suggest opportunities/alternative ways of achieving growth, such as developing new productions for the existing market

Discuss the value of Ansoff matrix for a business in its expansion strategy

Ansoff's Matrix is a decision-making tool to help formulate business strategies

Analysis

- Ansoff is a clear, graphical representation of a corporate strategy and can help to show/assess risk and potential reward for a given strategy
- It is useful as a comparative tool when considering different strategies

Evaluation

- However, its generic nature may mean over-simplification
- It is a theoretical model and therefore its usefulness is limited
- It may not be clear which strategy is being followed sometimes

Porter's strategic matrix a method that can be used in the development of a corporate strategy, based on positioning in terms of cost leadership/differentiation/cost focus/differentiation focus

Cost leadership

this involves striving to be the lowest-cost provider in the market. They will mainly compete in two ways

- increasing profits, while still charging market level prices
- increasing market share, while charging lower price still making a profit

Differentiation

This involves a business operating in a mass market with a unique position instead of the lowest-cost position. Unlike cost leadership, a differentiation strategy may be adopted by any business, provided that it can deliver a way of differentiating itself from the completion.

A business adopting differentiation will do so through adding value to their products in a unique way. This might include quality, brand identity, design or customer service.

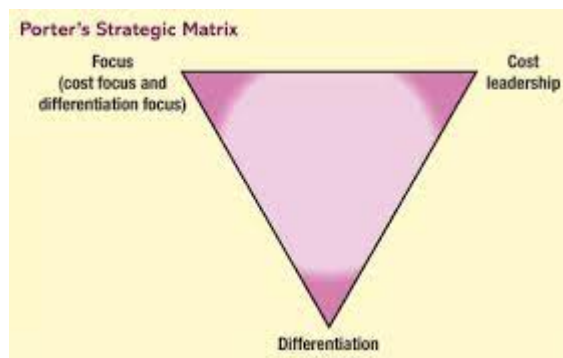
Focus

A focus strategy is closely aligned to niche marketing. As a business is focusing on a very narrow segment of the market, it is able to gain an advantage by understanding its customers very well. It can deliver products and services that are very specific to their needs.

- As a result this can create a high level of customer satisfaction and loyalty.
- Also a focus strategy will result in less competition and higher profit margins.
- However, as the market is very small a firm adopting this strategy tends to have low bargaining power with suppliers.

This strategy involves targeting a narrow range of customers in one of two ways.

- **Cost focus:** emphasising cost minimisation within a focused or niche market. Although it does not operate as the cost leader in the market, it is able to offer a focused range of products at very low prices
- **Differentiation focus:** following different strategies within a focused market. Ferrari is an example of this strategy. Its high-performance cars are targeted at a very small percentage of the population.



Using Porter's Strategic Matrix, evaluate the best way a business can compete

- Porter suggested four 'generic business strategies' that could be adopted in order to gain competitive advantage
- These strategies can help *a business* develop an 'edge' and gain market share from competitors
- A company could try to gain a competitive advantage with the strategy of cost leadership by lowering costs in order to raise profit margins/market share with lower prices compared to *its competitors*

Evaluation

- However, this strategy could result in a lower brand image for *the business* if customers believe the lower prices mean lower quality
- Reducing the number of retail outlets could also reduce sales if customers cannot access its products

differentiation

- *a business* could look to differentiate its products and thereby charge a premium price in order to gain a competitive advantage
- This could make its products more attractive and distinct from *Adidas* and *Nike* that still focus on preparation and performance
- Business focus on its relationships with its customers as its mission statement is all focused on improving its customers'

evaluation

- However, differentiation is costly in terms of R&D and the marketing strategy needs to successfully communicate the USP to customers if it is to gain market share over rivals and create brand loyalty
- *The business* needs to decide whether it wants to focus on broader but higher cost strategy compared to broader but lower cost target market

Portfolio analysis

Under portfolio analysis Product Life Cycle and Boston Matrix is there

(boston) = method of grouping a business's "portfolio" to decide where each prod fits within strategic plans – boston matrix may be used to identify which strategies to adopt

- **stars** = high growth prods – high market shares – strong compared to comp
- **cash cows** = low growth prods – high market shares – more cash in than out
- **question marks** = low market shares – high growth markets – more cash out than in
- **dogs** = low market shares – low market growth – may breakeven

Assess the extent to which the Boston Matrix may help a business

- The Boston Matrix is a method of portfolio analysis based on market share and market growth.
- It categorises products into cash cows, dogs, stars and problem children (question marks).
- It can be used to analyse the current portfolio of products to help with future strategies and growth. Cash from mature products can be used to fund new product ranges to increase revenues.
- As market share may be gained through investment in marketing, the matrix helps to focus on a promotion strategy of new ranges and designs to increase sales.
- It will help in the decision making regarding product ranges that are regarded as dogs that should be discontinued.

Evaluation

- However, it is only a snapshot of the current product portfolio. It has little or no predictive value and does not take account of external factors such as competitors and changes in fashion in the industry.
- Just because products are categorised as dogs does not mean they must be removed – perhaps they still generate acceptable levels of revenue.
- The Boston Matrix cannot be used in isolation and must consider other external and internal factors to help *the business* make important decisions on its product portfolio.
- Product life cycle may be a better method of portfolio analysis as it takes account of life span of products which is an important element

Importance of product life cycle to a business

The product life cycle describes the stages a product goes through from when it was first thought of until it is finally removed from the market. It consists of stages such as introduction, growth, maturity and decline.

Analysis

- Helps to identify when to launch new products
- Helps devise promotional strategies
- Helps to identify products in the decline stage

Evaluation

- Not all products go through all stages of life cycle
- Success depends on a number of external factors

- Difficult to foresee transitions in PLC as key indicator is sales which is always calculated with a time lag

Effects of strategic and tactical decisions on human, physical and financial performance

- **Strategic:** is set out for the long term direction that a business will take to achieve its objectives
- **Tactical:** is set for short term responses to an opportunity or threat in the market
- Even though they are made separately, tactics should support corporate strategies

Human resources

- A strategic decision will have a major impact on the workforce for a long term
- For example, a growth strategy means that more workers are needed, moving of workers to different locations...etc
- However, a tactical decision may affect people for a short time
- For example, during summer an ice cream vendor may decide to open the shop more hours, hence only few workers are impacted, and it is for a short time

Physical resources

- Physical resources refer to land, machines, tools, equipment, vehicles, shops, raw materials....etc
- A strategic decision could have a quite an impact on these resources depending on the nature of the decision.
- For eg, if a company decides to outsource its delivery, then they don't need any of their vehicles or drivers. This is a small impact. But if they are looking for growth, they need more investments on all of these resources.
- Tactical decisions also have an impact but not so much. For eg, a company taking a special order on request, they can lease some assets required and return back once done with the order, hence the company is not impacted on long term

Financial resources

- Strategic decisions can have a significant and long-term impact on the financial resources.
- For eg for a planned acquisition a company may issue shares to raise finance, and hence commit to pay dividends as long as the company operates, therefore the impact is long term
- However, a tactical decision may not have a long-term impact. For eg, due to low cash flow the company may go for an overdraft, but the assumption is that once the customer pays the overdraft will be paid back, hence the impact is not long term

3. SWOT analysis

INTERNAL AUDIT: an analysis of the business itself and how it operates – attempts to identify strengths and weaknesses of operations – covers:

- product costs/quality/development
- finance including profits/assets/cashflow
- production including capacity/quality/efficiency/stock management
- internal organization including divisional/departmental structure
- human resources including skills/training/recruitment

in large businesses these audits might be conducted from outside consultants

EXTERNAL AUDIT: an analysis of the environment in which business operates – business has little or no control over – 3 key areas:

- market
- competition
- PESTLE (Political Economic Social Technological Legal Environmental)

What is SWOT analysis = involves looking at the strengths, weaknesses, opportunities and threats – is an analytical tool which helps in complex decisions

STRENGTHS

- Strengths are the advantages that the business has in the market
- These are internal to the business, so may relate to the owner of the business or the original idea
- A strength could be; a product, a customer experience, a USP or anything that is unique about the business idea

WEAKNESSES

- Weaknesses are also internal to the business and may be about the business owner, the product or the service offered
- For example it may include the fact that a business owner has no previous experience in that particular industry

- It may also be that the owner is disorganised, or unable to use ICT effectively to create an online shop

OPPORTUNITIES

- Opportunities are external to the business and may be where the owner or marketing department has spotted a gap in the market
- It may also be where the research and development (R&D) department has come up with a new product or service
- It may be an opportunity to jump on a trend and sell while demand is high
- Opportunities are beyond the control of the business, but can open up a new market (Ansoff's)

THREATS

Threats are external to the business and can be any of the PESTLE factors:

- Political – war and civil unrest in trading areas
- Economic – high inflation and interest rates reduce consumer spending
- Social – trends may be over quickly like fidget spinners
- Technological – disruptive technology such as streaming and DVDs
- Legal – Minimum Wage pushing up costs
- Environmental – sustainability and climate change challenges

often swot analysis is carried out in mind mapping sessions – may help improve the business if action is taken after analysis

Advantages

- It is an analytical tool that can help managers with complex decisions.
- Helps to build on a firm's strengths and reverse weaknesses to maximize profits
- The method will help determine both threats and opportunities on local, national, and even international level.

Disadvantages

- It doesn't give detailed quantitative figures that might be useful for decision making.
- Unskilled labour and poor R&D facilities means the data in the SWOT analysis is inaccurate.

4. external influences = events/issues completely outside the control of business

PESTLE Analysis

- This is a business analysis tool that aims to look at external factors and how they may have an impact on the business
- This aids strategic and tactical decision making, objective setting and helps a business to reach its goals.
- Political, Economic, Social, Technological, legal and environmental

Political

- A business may be affected by politics in the UK or even politics across the world, here are a few of the largest impacts;
 - A change in government
 - Government laws for example minimum wage
 - Brexit and new trading blocs post-Brexit
 - Tax rates, for example a change in VAT
 - Tariffs

Economic

- A business should analyse how they may be affected by economic factors such as;
 - An increase in interest rates
 - An increase in inflation
 - Unemployment rates
 - Recession
 - The business cycle

Social

- A business should analyse how they may be affected by changes in social factors;
 - A change in demographics and its impact on products produced and markets
 - Culture mix changes, with global social mobility and economic migrants
 - Social trends e.g. Vaping, healthy lifestyle

Technological

- A business could examine the impact of new technologies on their operations, for example;

- Automation, new robotics and how it can improve productivity
- Innovations in the industry
- Research and development in the industry
- New computer systems
- Trading online

Legal

- A business should assess how they may be impacted by changes in legislation for example;
 - Health and safety at work act in terms of PPE (Personal Protection Equipment and regulations, Guardian article
 - Data protection Act
 - Sale of Goods Act
 - Sex Discrimination Act

Environmental

- A business could analyse their environmental challenges that may face the business;
 - Climate change
 - Weather (e.g. in farming and tourism)
 - Sustainable production
 - CSR Corporate Social Responsibility
 - Disappearance of wildlife

P	E	S	T	L	E
Political	Economic	Social/Cultural	Technology	Legal	Environment
• Stability of Government • Potential changes to legislation • Global influences	• Economic growth • Employment rates • Inflation rates • Monetary policy • Consumer confidence	• Income distribution • Demographic influences • Lifestyle factors	• International influences • Changes in information technology • Take up rates	• Taxation policies • Employment laws • Industry regulations • Health and Safety	• Regulation and restrictions • Attitudes of customers

Impacts of external influences

- **demand** = can increase or decrease demand – concern should arise for the latter
- **costs** = some influences are likely to raise costs and depending on for who either the business or the consumer benefits
- **operations** = businesses often have to change their operations due to some influences

The structure of markets =

- **competitive markets** = large number of buyers/sellers – close substitutes – low barriers to entry – free flow of information
- **uncompetitive markets** = dominated by a single/few large producers/businesses – monopolies – oligopolies – interdependence in oligopolies – high barriers to entry – more non-price competition

The changing competitive environment = over time the structure of markets changes – in some markets competition intensifies – in others there have been consolidation

Impact on businesses due to changing competitive environment =

- **new entrants** = new entrants mean increased competition so existing business may have to consider their position in the market
- **new products** = when a new product appears in the businesses might be forced to make changes to their own
- **consolidation** = the number of businesses in a market may fall but some of the existing businesses get bigger – they pose a threat to the remaining businesses in the market

failure to respond effectively to these changes may negatively affect the performance of a business and at worst may threaten survival

PORTERS FIVE FORCES

In 1985 Porter argued that there were 5 forces (or factors) which determine the profitability of an industry.

1. Bargaining power of suppliers
2. Bargaining power of customers
3. Threat of new entrants
4. Threat of substitutes
5. Rivalry among existing businesses

Porter's 5 Forces



- **bargaining power of suppliers** = the more power a supplier has over its customers, the higher prices it can charge – limiting the power of suppliers therefore improves the competitive position of a business – backward vertical integration for example is a strategy in this case
- **bargaining power of buyers** = buyers want to obtain supplies at the lowest – if buyers/customers have considerable market power they will be able to beat down the prices set by suppliers
- **threat of new entrants** = if an industry is easily accessible and withdrawable during low profits then it becomes difficult for existing businesses to charge higher prices – existing businesses are constantly under threat from new suppliers if the profits in an industry rises too much because new suppliers can undercut their prices – erecting barriers to entry is a strategy
- **substitutes** = the more substitutes there are for a product, the fiercer the competitive pressure on the business making the product and vice versa – the latter means more likelihood of the ability to charge higher prices – research and development can reduce the number of potential substitutes by patenting the substitutes themselves
- **rivalry among existing firms** = the degree of rivalry among existing firms also determines the prices and profits for any firm – rivalry can be reduced by forming cartels or engaging in anti-competitive practices (illegal in many countries) – another method is to buy up or merge into rivals with horizontal integration

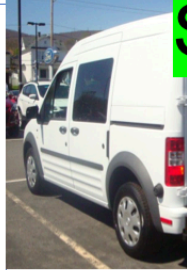
Bargaining power of suppliers and customers

• Bargaining power of suppliers;

- Limit power of suppliers by looking for new suppliers
- Backward vertical integration and merge or takeover the supplier

• Bargaining power of customers;

- Make it too expensive for a customer to switch
- Forward vertically integrate



Suppliers



Customers

Threat of new entrants and substitutes

• Threat of new entrants;

- Create barriers to entry to prevent new entrants
- Heavily advertise to build strong brands

• Threat of substitutes;

- Continuously invest in R&D and develop patents
- Buy up patents of rivals and shelve to prevent product production



New Entrants



Substitutes

Rivalry amongst existing firms in the industry

In a very competitive market place there may be a great deal of rivalry, example might be UK supermarkets, retail clothing companies.

The intensity of this rivalry will have an impact on the business that is trying to trade, it may mean:

- Larger businesses trying to buy up rivals through horizontal integration
- Businesses continuously introducing new products to the market
- Businesses in the market having to heavily advertise to maintain market share



Rivalry

Advantages of porter's five forces

1) Helps to Estimate the Competition in the Industry

Porter's five forces help to measure the threat of new entrants, the threat of substitution, supplier bargaining power, and buyer bargaining power. All of these will sum up to provide the competitive rivalry of the industry. This will support the company to understand the current competition of the industry to adjust the corporate strategy accordingly

2) Showcase where the Strengths and Threats Exist

Porter's five forces provide the output of understanding the supplier and buyer forces with risk of new entrants and substitute products. This will enable the senior management to find out where does the company's strengths place in and where does the threat exist. Management will be able to take precautionary actions for the threats while enhancing the strengths more.

3) Identify which Entities Holding the Power

There are three entities to which Porter's Five Forces are related. Those are suppliers, buyers (consumers), and competitors. This analysis will provide insights into which are entities hold more power and less power. This will enable the companies to make decisions on the best strategies to handle these entities

4) Display Opportunities to Expand the Business

Porter's five forces provide the power of suppliers and buyers in the industry. This will help the company to make decisions on whether to proceed with verticle integration to acquire suppliers and buyers to reduce their power and expand the business. Simply the business can conduct the forward integration to acquire their consumer side of the value chain, and/or backward integration to acquire their supplier side of the value chain, according to the information provided from the five forces Also, this will help the company on having insights into the competitive rivalry, where the company can seek the possibility of conducting horizontal integration to acquire a competitor, to reduce the risk of competition.

5) Assist to Understand the Corporate Risk

Porter's five forces will provide valuable insights into the power of suppliers, power of consumers, and power of competitors. All of this information will help the company to understand the corporate risk of the business, and make responses to those risks.

6) Helpful in Making Corporate Strategy and Vision

The corporate strategy helps the company to make strategic decisions by looking across all aspects of the business to determine how best possible to create the most value. Porter's five forces will provide valuable information for this to make the corporate strategy more accurate by considering the impact of the external forces

Disadvantages of Porters five forces

1) Limitation on the Composition

Porter's five forces only concentrate on the power of suppliers, power of consumers, substitution, and new competition. But other technological factors and business strategies that impact the company are not considered. As an example, technological evolvement is one of the biggest threats for all companies across all industries. Also, external forces such as government policies, taxation policies, cross-border business risk, environmental impact, etc are not considered. This can be a major aspect of the growth or else the downfall of the company.

2) Unavailability of Quantitative Dimensions

There is no built-in method to conduct the quantitative analysis of the external factors. This tool does not provide a quantitative idea of the depth and impact of the five forces described. Also, there is no quantitative idea of which forces out of the five are most important and least important.

3) Impractical to use on Large Companies

Practically it is difficult to use this analytical framework for a company that has a large product portfolio and operates in different market segments. This framework is meant to analyze a company in a single industry

4) Can Be Used as Starting Point for the Analysis

Porter's five forces is a simple tool that contains five external factors which can be beneficial or else drawback for a company. This can be used only as a tool for the starting point of a deep investigation. This framework provides the initial understanding of the company's competitive position in an industry. This framework can not alone provide an in-detail investigation of the company

5) Not Applicable for All Industries Universally

Porter's five forces practically can not be used for some industries. As an example, not-for-profit companies can not use this method for the analysis. Also, companies conducting activities like R&D will not have much benefit from this.

6) Not Consider Business Risk Factors

External business risk factors like foreign exchange instabilities, natural catastrophes, methods of financing, legal constraints, fast technological evolutions, fluctuations in interest rates, etc not considered for this framework. These are major factors in determining the business risk of the company

ASSESS THE USEFULNESS OF PORTER'S FIVE FORCES MODEL WHEN ANALYSING THE MARKET

ANALYSIS (POSSIBLE POINTS)

- Porter's five force model is a framework for analysing the nature of competition within an industry and can be used to identify the potential profitability of a particular strategic decision
- It does so by looking at five main factors – threat of substitutes, threat of new entrants, bargaining power of buyers, bargaining power of suppliers and competitive rivalry
- could use the model to quickly assess its position within the marketplace and how each of the 5 forces affects it
- For example, it could analyse the threat of new entrants or new substitute products and the impact on its market share
- can then look at what strategic changes are needed to protect itself against new entrants and potential substitute products by trying to increase barriers to entry and increase brand loyalty
- could analyse the bargaining power of its suppliers for the 150 parts that go into the weather clock to see if there substitute suppliers in times of raw material shortages
- By using the model *Bramwell Brown* could look to take advantage of its strong position and help it to avoid taking poor strategic decisions in the future
- Porter's Five Forces model can be used to assess the potential of an market. Porter outlined five forces that determine the profitability of an industry.
- It can help businesses to look at the 'balance of power' in a market between different types of organisations, and to determine whether entering into such a market will be profitable
- Porter's Five Forces model to help assess whether the market is likely to be profitable.
- Assist to understand the corporate risk
- Helps to estimate the competition in the industry

HOWEVER

- it is only a management tool and relies on the skills of the person being able to analyse the competitive environment
- a small business that may not have access to market data or be able to apply the model to such a unique product
- It only concentrates on the power of suppliers, power of consumers, substitution and new competition. But other technological factors and business strategies that impact the company are not considered
- Environmental factors are also important to be considered when analysis the market
- Porter's five force model is a management and decision-making tool which must be used in conjunction with other decision-making tools such as PESTLE or a SWOT analysis to increase its effectiveness